

Buyer Representation Agreements

The buyer representation agreement most commonly used is the exclusive right to represent agreement. You may also hear it called the buyer-broker agreement. This is a contract between the buyer and the broker. Similar in concept to other contracts, the buyer representation agreement outlines the terms of the buyer/broker relationship. This contract gives brokers the sole right to represent the buyer. The buyer cannot be represented by other brokers.

Other features of a buyer representation agreement include, but are not limited to:

- Description of the property being sought (such as price, location, etc.)
- Method and timing of compensation for the broker (how much is the compensation and who will pay it)
- Obligations of the buyer (such as proceeding with a transaction in good faith, authorizing the broker to locate and assist the buyer with negotiations, and notifying the broker of any material changes)
- Obligations of the broker (such as locating and showing properties to the buyer, assisting in negotiations, and providing guidance throughout the transaction)